

Classes A, C, and S shares of Janus Global Research carry 12(b)-1 fees of 0.25%, 1.00%, and 0.25%, respectively. Some investors may not realize they are paying 12(b)-1 fees because they are not loads. By setting 12(b)-1 fees on AUM, *current* shareholders pay for the fund company to increase the size of the fund (which then tends to perform poorly as the fund grows) rather than *new* shareholders.

The *other expenses* category includes custodial and legal expenses, accounting fees, and other administrative costs.

The *total operating expenses* sums up the expense ratio, 12(b)-1 fees, and other expenses. The Class C shares for Janus Global Research are very expensive, at over 2%, more than double the management fees for a typical active mutual fund. The other share classes have total annual expenses around 1%. Good passive index funds have total operating expenses well below 0.2%. In the merger of Janus Global Research and Janus Worldwide in March 2013, the fee schedules of the combined fund were the same as Janus Global Research (since Janus Worldwide disappeared). Table 16.6 shows that the fees on each separate share class are all higher for Janus Global Research. At a stroke, Janus got to collect higher fees on the much larger \$2 billion in Janus Worldwide than just on the \$0.3 billion in Janus Global Research by merging the two funds.

Fees Are Trending Downwards

Fees in active mutual funds have been trending downward but remain fairly high. Figure 16.7 reports mutual fund fees compiled by ICI. During the 1990s, the average mutual fund fee in equities was 1.0%. At the end of 2011, this had fallen to

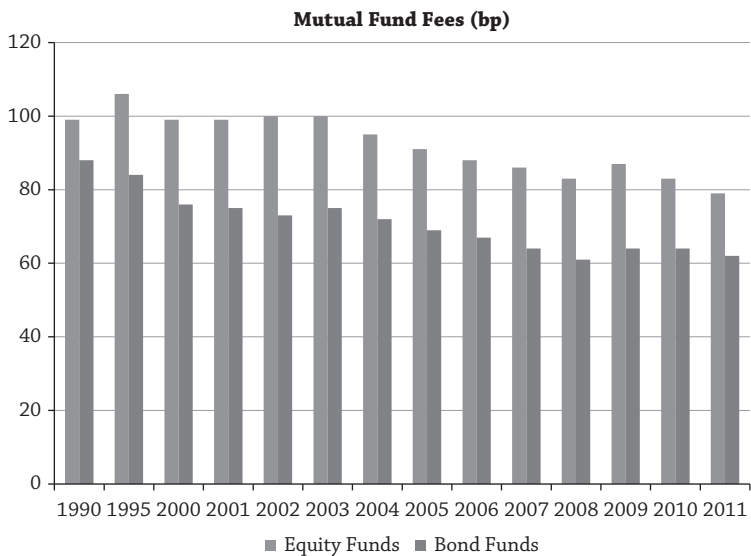


Figure 16.7